Week 5 Practical: HR Policy Failure Taxonomy

Module M3 — Track C: HR Policy Assistant | Soft Suave · The AI Engineering League

Ranked Failure Taxonomy (Fits One Screen)

Operational failure modes derived from open-coding a seeded random sample of 20 traces (Seed: 42). Ranked by Frequency (%) × Severity.

Rank	Named Failure Mode	Count	Frequency %	Severity & Business Impact	Example Trace ID	Rank Score
#1	2. Eligibility Matrix & Tenure Tier Extraction	5	25.0%	Critical Legal Exposure (Confusing probationary vs confirmed entitlement violates statutory policy)	trace_bacf7c79733b	125.0
#2	4. Out-of-Corpus Query Handling & Refusal	5	25.0%	Critical Misinformation Risk (Fabricating ungrounded policies exposes company to legal liability)	trace_d388976da5fb	125.0
#3	1. Exact Policy Section Retrieval Lookup	5	25.0%	High Compliance Risk (Misquoting exact clauses causes incorrect employee benefit grants)	trace_1dd5f8543334	100.0
#4	3. Regional Jurisdiction Disambiguation	5	25.0%	High Regional Compliance Risk (Cross-border policy confusion creates payroll errors)	trace_b3305fa02f96	100.0